

flow of most financiers in the city, which meant that these loans were not getting refinanced and there was no exit.

In fact, Mr Sanghvi rarely made money on his investments and hence needed a big course correction. Nikhil painstakingly explained to him the benefits of patient long-term investing. More specifically, Nikhil highlighted that investing in equity markets for the long term could create significant wealth for Mr Sanghvi and help him and his family sustain their lifestyle post retirement. The conversation was surprisingly similar to the one Nikhil had had with Mr Talwar even though Mr Talwar and Mr Sanghvi were like chalk and cheese as far as their financial status was concerned. In the final chapter, we will examine Nikhil's plan to help Mr Sanghvi meet his goals.

We all make mistakes

Common to Mr Talwar and Mr Sanghvi are some very basic investment mistakes that have led to either wealth erosion or sub-optimal returns. Listed below are the seven basic investment mistakes most of us make.

No clear investment objective/plan: If you don't know where you are going, you will probably end up in the wrong place. This is one of the biggest mistakes that most investors tend to make while starting investments—they do not have their life objective/goals in mind when they invest. Most of their investing is usually random and based on market rumours/tips. It is extremely important to list one's life goals and make a financial plan to meet those objectives. The longer you postpone getting your objectives baked into a financial plan, the harder it will become for you to meet these. For Mr Sanghvi, his portfolio had, for most of his life, been just a pot of money to be used for making aggressive gambles. It was only after he sold his company that he realized that his portfolio needed a purpose and objective, namely, to sustain him and his family through his retirement.

Trading too much, too often: Too many people trade too much, too often and do not reap the benefits of long-term investing and sensible asset allocation. Repeated trading and modification in investments usually lead to